

Online Banking

Today, many people use their computers and smartphones as a way to communicate with the world and do business. There are a wide variety of applications that have been created to assist with banking, budgeting, sending money to other individuals, and investing. When downloading and using these apps, make sure they are *secure* and *certified*. Technological advancements have made these convenient banking and money sharing apps possible, but have also made Internet hacking and scams more efficient.

There are a number of apps made to assist individuals with their financial needs. Depending on its particular service, these apps may allow you to:

- Check your balance
- View all of your transactions (all your purchases for a particular time period)
- Pay bills
- Open a new account
- Deposit checks
- Transfer money within your personal accounts (such as from savings to checking)
- Send and receive money
- Invest your money
- Budget

This is not an exhaustive list, as there are numerous apps that can be used for online banking and personal finance. Your financial institution will most likely have their own website and app available to support your online banking needs, as well as a bank representative who can help you with learning how to use these services. Check in with your bank if you have questions or concerns about their banking apps. ⁶⁵

⁶⁵ Original material from Peerlink National Technical Assistance Center.

Virtual Banks

If you don't mind foregoing the teller window, an online or e-bank – such as USAA, Chime, NationWide, Discover Bank, Giant Bank or Alliant Credit Union – may save you money. From the customer's perspective, virtual banks exist entirely on the Internet. They offer nearly the same range of services and adhere to the same federal regulations as a brick-and-mortar bank.

Virtual banks pass the money they save on overhead costs, like buildings and tellers, along to you in the form of higher yields, lower fees, rewards such as cashback, and more generous account thresholds. Many of these online banks provide customers access to free (no fee) ATMs across the country. However, out-of-network ATM fees can apply if there are limited ATMs in your area affiliated with your virtual bank. This is the primary disadvantage of virtual banks.⁶⁶

Advantages of Online Banks:

- **Low fees:** Online banks tend to have lower (or no) monthly maintenance or overdraft fees.
- **Better interest rates:** Deposit accounts at online banks tend to have higher annual percentage yields. For example, the best online savings accounts have APYs around 0.45%, while the national average rate for savings accounts is 0.06%.
- **Convenience:** Unlike your corner bank, online banking sites never close; they're available 24 hours a day, seven days a week, and they're only a click away.
- **Ubiquity:** If you're out of state or even out of the country when a money problem arises, you can log on instantly to your online bank and take care of business, 24/7.
- **Transaction speed:** Online bank sites generally execute and confirm transactions at or quicker than ATM processing speeds.
- **Efficiency:** You can access and manage all of your bank accounts, including IRAs, CDs, even securities, from one secure site.
- **Effectiveness:** Many online banking sites now offer tools such as account aggregation, stock quotes, rate alerts, and portfolio programs to help you manage your assets. Most are compatible with money managing programs such as Quicken and Microsoft Money.

Disadvantages of Online Banks:

- **Start-up may take time:** In order to open an account at a virtual bank, you will likely need to mail in a signature.

⁶⁶ Amber Murakami-Fester. "What is Online Banking? Definition, Pros and Cons. *NerdWallet*, May 25, 2021. <https://www.nerdwallet.com/article/banking/pros-cons-online-only-banking>

- **Cash deposits can be difficult:** Because there are no physical branches to make deposits at, you may have to find a deposit-accepting ATM.
- **Cash withdrawals can be difficult:** Some online banks have limits for how much you can withdraw at an ATM. This can be difficult if you need to make a big purchase in cash.
- **Fewer options:** Some online banks may not offer additional accounts and services, such as CDs, whereas traditional banks tend to often offer a number of services all in one place.
- **Learning curve:** Banking sites can be difficult to navigate at first. Plan to spend some time reading the tutorials in order to become comfortable in your virtual lobby.
- **Bank site changes:** All banks periodically upgrade their online programs and add new features. In some cases, you may have to re-enter your account information.
- **The trust issue:** For many people, the biggest hurdle to online banking is learning to trust it. Did my transaction go through? To be sure, always print the transaction receipt and keep it with your bank records until it shows up on your bank statement.

Money Transfer Applications

Along with online banking, money transfer apps like CASH APP, PayPal, Venmo, and Zelle are becoming more and more common. These apps enable you to pay friends or people you are doing business with directly from your phone instead of through cash or checks. Note that Venmo now taxes small businesses for doing business on their app.

Cash apps are intended to request and send money to and from people whom you know and trust or have interacted with before on a financial level. Most financial institutions enable you to request and transfer funds by linking your bank account to your Venmo or PayPal account. If you are hesitant about the safety of these apps, ask a bank representative at your financial institution.

Investment Applications

Investment applications such as Acorns, RobinHood, E*Trade, or Vanguard enable you to put spare change or additional savings into an investment account that will help your money to grow like a 401(k) or an IRA (these are common retirement accounts, which will be discussed further in Workshop 10). Depending on your financial institution, you may be able to invest funds through your bank's mobile app as well. These apps build and manage portfolios for you, making investment easy and jargon-free.

There are several different types of investment apps. Some are micro-investing apps like Acorns, which automatically invests your spare change into diversified portfolios. There are also "robo-

advisor” apps, like Betterment, that use algorithms to assist users on how to invest their money; and stock trading apps, like RobinHood, that provide commission-free investing and trading.

The major downside to these applications is that they cost a monthly subscription fee, which can often be quite high compared to the returns on your investment you are receiving each month. In this case, sometimes traditional investment companies like Charles Schwab or Vanguard, which both have electronic and low-fee options, may be a better option.⁶⁷

If you are interested in investing, make sure you have enough money to meet your daily needs, as well as emergency savings funds, in case your investment loses money. Investments can be risky and a person or family should reach financial stability and resiliency before investing.

Direct Deposit/ACH payments

ACH stands for “Automated Clearing House” and is a financial network used for electronic payments and money transfers in the United States. Many employers, instead of handing or mailing your paychecks, have switched over to directly depositing money into your account. If your employer deposits money directly into your account or you pay your bills online, ACH payments are most likely occurring.⁶⁸

When you begin a job that prefers direct deposit payments, you will often need to provide your employer with your checking or savings account number and your bank’s routing number. These can be found on a blank check (see Workshop 4) or your account information on your bank’s app or website. Sometimes you will need to request a Direct Deposit/ACH letter from your bank to get this information.

Payments from Social Security⁶⁹

If you qualify for Social Security benefits, you must receive your payments electronically. One way to receive your benefits is through direct deposit. It is a simple, safe, and secure way to get benefits. Contact your bank to help you get set up with direct deposit or sign up through the SSA. The other way to receive your benefits is through an electronic debit card, called the Direct Express card. This card is:

⁶⁷ Julia Glum. “Do Investing Apps Actually Work? Here’s What to Know Before you Commit.” *Money*, Dec. 16, 2019. <https://money.com/investing-apps-pros-cons/>

⁶⁸ “What are ACH Payments and Should I Accept Them?” *Square*, 2021. <https://squareup.com/us/en/townsquare/ach-payments>

⁶⁹ “Get Your Payments Electronically” *Social Security Administration*, Dec. 2020. <https://www.ssa.gov/pubs/EN-05-10073.pdf>

- **Convenient and reliable:** Your money will be automatically loaded onto your card on payment day each month. You will have access to your money at all times.
- **Easy to use:** You can make purchases, pay bills online, get cashback at stores, get cash at an ATM or from bank or credit union tellers; or buy money orders at the post office.
- **Secure.** Similar to a regular debit card, you have a PIN that protects your account. The money in your card account is protected and insured for up to \$250,000 by the FDIC.
- **Funds are protected from creditors:** Federal law makes it illegal for a creditor to seize your Social Security benefits. This includes benefits you get on a debit card.
- **It's free to use the card:** There are no sign-up or monthly fees, though some optional services do charge fees.

Visit <https://www.ssa.gov/deposit/howtosign.htm> to sign up for Direct Deposit or Direct Express.

Automatic Bill Payments

Automatic bill pay can be a convenient way to pay most of your monthly bills. The money is automatically taken from your checking account on the same day every month (if the date lands on a holiday or a Sunday, it is usually taken out the next business day). It is relatively easy to set up by phone or through a company's website. You will need the name of your bank, your checking account or debit/credit card number, and your account number that appears on your bills.

What to consider before deciding to use automatic bill pay:

- Check the due dates and make sure the money is in your account. Can you guarantee your account will have enough money for each bill every month when it's due? You may incur fees from your bank *and* the company if your account has insufficient funds.
- Check your statements for discrepancies in your bills. It's easy to overlook mistakes if the bill is taken care of automatically.
- Keep records. If you only get receipts through emails, flag or print them.
- To protect your identity with various accounts, don't use easy-to-guess passwords. Make sure your computer has up-to-date anti-virus software installed.⁷⁰

⁷⁰ Original material from Peerlink National Technical Assistance Center.